Westgate Technologies Co. (VQWP) - Form 10-K

FY2023

Westgate Technologies Co.

Form 10-K for the Fiscal Year Ended 2023

Ticker: VQWP | Sector: Utilities | HQ: Ohio

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Westgate Technologies Co. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

Item 1. Business

Introduction

Westgate Technologies Co. ("Westgate," "we," "our," or "us") is a vertically integrated electric utility headquartered in Ohio. We generate, transmit, and distribute electricity to retail and wholesale customers within our regulated service territory. Our rates and the terms of our service are subject to regulation by state and federal regulatory authorities, and our business is organized to support reliable, long-term delivery of electricity under that regulatory framework.

For the fiscal year ended 2023, we generated net revenues of $23,346.8 million. The substantial majority of our total assets, approximately 96.9%, consists of electric utility plant and other long-term regulatory and infrastructure assets associated with our generation, transmission, and distribution operations, reflecting the capital-intensive nature of the utility business.

Regulation and Rates

Our retail rates, terms of service, and the construction of significant new generation, transmission, and distribution facilities are subject to approval by state utility regulators, and certain aspects of our transmission operations and wholesale power sales are subject to federal regulation. Our ability to recover our costs of service and earn a reasonable return on our invested capital depends on the outcome of periodic rate proceedings before these regulators.

Generation and Delivery

We maintain a diversified generation portfolio and an extensive network of transmission and distribution infrastructure designed to deliver electricity reliably to our customers. We continue to invest in modernizing our generation fleet and our transmission and distribution systems to support reliability, resiliency, and the evolving needs of our service territory. During fiscal 2023, this included incremental storm restoration and system-hardening work following significant weather events affecting our service territory.

Human Capital

Our workforce includes employees engaged in generation, transmission, distribution, customer service, and corporate support functions. We focus on safety, training, and competitive compensation and benefits to attract and retain the skilled workforce our operations require.

Competition

While our regulated distribution business operates largely as a monopoly within our service territory, we face competition in wholesale power markets and, in some areas, from distributed generation and energy efficiency alternatives that can affect demand for the electricity we sell.

Item 1A. Risk Factors

Risks Related to Regulation

Our rates and the terms of our service are subject to extensive regulation, and adverse regulatory outcomes could harm our results of operations. Our ability to recover our costs of service and earn a reasonable return on invested capital depends on rate decisions by state and federal regulators. An unfavorable outcome in a rate proceeding, or delay in cost recovery, could adversely affect our revenues and cash flows.

Changes in environmental and energy policy could require significant capital expenditures or otherwise increase our costs. Our generation, transmission, and distribution operations are subject to environmental laws and regulations that may become more stringent over time, which could require us to make additional capital investments or incur higher operating costs that we may not fully recover through rates.

Risks Related to Our Operations

Our operations are subject to severe weather, natural disasters, and other events that could disrupt service and increase costs. Damage to our generation, transmission, or distribution infrastructure from storms or other events could require significant unplanned expenditures and could affect our ability to serve customers reliably. During fiscal 2023, we experienced significant weather events affecting our service territory, which required incremental storm restoration and system-hardening work layered onto our ongoing capital program.

Our generation, transmission, and distribution infrastructure requires significant ongoing capital investment, and we may not recover all of our costs. The substantial majority of our total assets consists of long-lived utility plant and infrastructure assets; the pace and cost of required investment could exceed what we are able to recover in rates on a timely basis.

Risks Related to Our Financial Position

Our level of indebtedness could limit our financial and operating flexibility and increase our exposure to interest rate changes. As of fiscal year end 2023, our total debt was approximately $47,912.5 million and our liabilities represented approximately 71.4% of total assets; we recorded interest expense of $2,160.8 million during the year. This level of indebtedness could increase our vulnerability to adverse changes in interest rates and capital market conditions and could limit our ability to fund future capital expenditures.

Risks Related to Cybersecurity and Information Technology

Our generation, transmission, and distribution operations depend on information technology and operational technology systems that are subject to cybersecurity threats. As described in Item 1C, “Cybersecurity,” while we have not experienced a material cybersecurity incident to date, a future incident affecting our systems, including systems that support grid operations, could disrupt service, compromise sensitive data, and result in remediation costs, regulatory scrutiny, or reputational harm.

General Risk Factors

Our results of operations can be affected by weather conditions, economic conditions in our service territory, and other factors outside our control that influence customer demand for electricity, which could cause our revenues and earnings to vary from period to period.

Item 1C. Cybersecurity

Cybersecurity Program

We maintain a cybersecurity program informed by the NIST Cybersecurity Framework that is designed to identify, assess, and manage risks from cybersecurity threats to our generation, transmission, and distribution operations and to the information systems that support them. Our program includes continuous monitoring of our information technology and operational technology environments, recurring risk assessments, vulnerability scanning and penetration testing, employee security-awareness training, and a formal incident response plan that establishes procedures for identifying, escalating, containing, and remediating cybersecurity incidents.

Given the critical nature of electric infrastructure, we also participate in industry information-sharing efforts and coordinate with third-party vendors and service providers on security practices as part of our vendor management process. We maintain cybersecurity insurance that may offset a portion of the costs associated with certain incidents.

Cybersecurity Risks

We have not experienced a material cybersecurity incident to date. However, as an electric utility, our generation, transmission, and distribution systems are an attractive target for cybersecurity threats, and a future incident affecting our systems or those of our third-party service providers could disrupt service, compromise sensitive data, and result in remediation costs, regulatory scrutiny, or reputational harm. See Item 1A, “Risk Factors,” for additional discussion of cybersecurity-related risks.

Governance

Our full Board of Directors, with support from the Audit Committee, oversees our cybersecurity risk management program. Management provides the Board and the Audit Committee with periodic updates on our cybersecurity program, including the results of risk assessments, the status of our security initiatives, and the threat landscape we face. We believe board-level engagement on cybersecurity reflects the importance we place on protecting the infrastructure our customers depend on.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Westgate Technologies Co. is a vertically integrated electric utility. For the fiscal year ended 2023, we generated net revenues of $23,346.8 million, operating income of $4,872.8 million (an operating margin of 20.9%), and net income of $2,684.4 million (a net margin of 11.5%).

Results of Operations

The following table summarizes our results of operations for the fiscal year ended 2023 (in millions, except percentages; amounts may not sum due to rounding):

Line item	Amount	% of total
Net revenues	$23,346.8	100.0%
Other operating expenses	18,474.0	79.1%
Operating income	4,872.8	20.9%
Interest expense	2,160.8	9.3%
Pretax income	2,712.0	11.6%
Income tax expense	27.6	0.1%
Net income	2,684.4	11.5%

Other operating expenses, which represented 79.1% of net revenues, consist primarily of the fuel, purchased power, operations and maintenance, and depreciation costs associated with our generation, transmission, and distribution operations. Given the integrated nature of utility cost accounting across these functions, we do not further decompose this amount into additional line items. Interest expense of $2,160.8 million reflects the cost of our outstanding debt, which funds a substantial portion of our capital program. Our effective tax rate for the year was 1.0%, well below the 21% U.S. federal statutory rate, reflecting the impact of tax credits and other items specific to the period.

Liquidity and Capital Resources

We generated $6,638.8 million of cash from operating activities during 2023, reflecting net income of $2,684.4 million, non-cash depreciation and amortization of $3,939.4 million, and a net increase from changes in working capital and other items of $14.9 million. We used $6,600.5 million of cash in investing activities, consistent with our ongoing capital investment in generation, transmission, and distribution infrastructure; we did not report capital expenditures as a separate disclosed line, with substantially all of this investing use of cash captured within other investing activities. This capital program during fiscal 2023 included incremental storm restoration and system-hardening work following significant weather events affecting our service territory during the year, in addition to our ongoing generation, transmission, and distribution investment. Financing activities provided $1,262.7 million of cash, primarily reflecting net proceeds from financing sources used to fund our capital program; we did not pay dividends or repurchase shares during the year. Taken together, our cash and cash equivalents increased by $1,301.1 million during the year.

As of fiscal year end 2023, we had total debt of approximately $47,912.5 million, and liabilities represented approximately 71.4% of total assets. Utilities such as ours typically fund a significant portion of capital expenditures through debt issuance, supported by regulated cash flows. We believe our cash flow from operations, together with access to the capital markets, will be sufficient to fund our operating needs and capital program for at least the next twelve months.

Critical Accounting Estimates

Regulatory Accounting. We account for the effects of rate regulation in accordance with accounting guidance applicable to rate-regulated enterprises, which requires us to record regulatory assets and liabilities for certain

costs and revenues that are expected to be recovered from or refunded to customers in future periods. Changes in the regulatory environment could affect the recoverability of these amounts.

Property, Plant and Equipment. Our utility plant is depreciated over estimated useful lives that are reviewed periodically and may be revised based on operating experience, regulatory outcomes, and changes in our generation and delivery infrastructure.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Westgate Technologies Co. for the fiscal year ended 2023. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

Line item	Amount
Cash and cash equivalents	$329.9
Accounts receivable, net	2,430.5
Property, plant and equipment, net	558.8
Goodwill	59.9
Other assets	105,159.2
Total assets	$108,538.3

Liabilities

Line item	Amount
Accounts payable	$2,125.9
Short-term debt	2,883.8
Long-term debt	45,028.7
Other liabilities	27,498.1
Total liabilities	$77,536.5

Stockholders' Equity

Line item	Amount
Additional paid-in capital	$9,280.6
Retained earnings	14,948.5
Accumulated other comprehensive loss	(57.9)
Other equity	6,830.5
Total stockholders' equity	$31,001.7

Line item	Amount
Total liabilities and stockholders' equity	$108,538.3

Consolidated Statement of Income (in millions)

Line item	Amount
Net revenues	$23,346.8
Other operating expenses	18,474.0
Operating income	4,872.8
Interest expense	2,160.8

Line item	Amount
Income before income taxes	2,712.0
Income tax expense	27.6
Net income	$2,684.4

Consolidated Statement of Cash Flows (in millions)

Operating activities:

Line item	Amount
Net income	$2,684.4
Depreciation and amortization	3,939.4
Changes in working capital and other	14.9
Cash from operating activities	6,638.8

Investing activities:

Line item	Amount
Other investing activities	(6,600.5)
Cash used in investing activities	(6,600.5)

Financing activities:

Line item	Amount
Other financing activities	1,262.7
Cash from financing activities	1,262.7

Line item	Amount
Net increase in cash	$1,301.1

Notes to Consolidated Financial Statements

Note 1. Debt Total debt outstanding as of fiscal year end 2023 consisted of $2,883.8 million of short-term debt and $45,028.7 million of long-term debt, consistent with our capital-intensive generation, transmission, and distribution operations. Interest expense on this debt totaled $2,160.8 million for the year.

Note 2. Income Taxes Our effective tax rate for fiscal 2023 was 1.0%, compared with the 21% U.S. federal statutory rate. The difference primarily reflects the impact of tax credits and other items specific to the period.

Note 3. Regulatory Matters Our rates, terms of service, and significant capital projects are subject to review and approval by state and federal regulatory authorities. We record regulatory assets and liabilities for certain costs and revenues expected to be recovered from or refunded to customers in future periods in accordance with applicable rate-regulated accounting guidance.

Note 4. Commitments and Contingencies We are subject to various claims and legal proceedings arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations.